East African Portland Cement PLC

Holding life together

ANNOUNCEMENT OF THE UNAUDITED RESULTS FOR THE SIX MONTHS ENDED 31 DECEMBER 2021

The Directors of East African Portland Cement PLC are pleased to announce the unaudited consolidated results for the six months period ended 31st December 2021

Condensed Consolidated Statement of Comprehensive Income for six months period ended:

	31 Dec 2021 Sh' 000	31 Dec 2020 Sh' 000
Revenue	967,601	1,389,511
Cost of Sales	(1,347,149)	(1,723,828)
Gross Loss	(379,548)	(334,317)
Other Operating Income	97,114	38,202
Administration and Selling Expenses	(532,443)	(540,541)
Loss from Operating Activities	(814,877)	(836,656)
Interest Income	-	126
Finance Costs	(101,281)	(269,457)
Loss Before Tax	(916,158)	(1,105,987)
Tax Credit	9,049	70,647
Loss After Tax	(907,109)	(1,035,339)
Other Comprehensive Income	(249)	12,647
Total Comprehensive Income	(907,358)	(1,022,692)
Earnings Per Share	(10.08)	(11.36)

Condensed Consolidated Statement of Cash Flows for the six months period ended:

	31 Dec 2021 Sh' 000	31 Dec 2020 Sh' 000
Cash flow used in Operations	(449,367)	(364,909)
Net Interest Paid	(3,113)	(5,022)
Cash used in Operating Activities	(452,480)	(369,930)
Net Cash generated from Investing Activities	411,043	235,346
Loan Restructuring	33,854	35,805
Net Cash Generated from Financing Activities	33,854	35,805
Effect of foreign currency translation	(249)	12,647
Net Decrease in Cash and Cash Equivalents	(7,583)	(98,779)
Cash and Cash Equivalents as at 1st July	31,622	81,524
Cash and Cash Equivalents as at 31 December	23,791	(4,608)

Condensed Consolidated Statement of Financial Position as at:

	31 Dec 2021 Sh' 000	30 June 2021 Sh' 000
Assets		
Non-current assets	31,619,804	32,197,669
Current assets	2,625,876	2,443,440
Total assets	34,245,680	34,641,110
Equity and Liabilities		
Share capital	450,000	450,000
Other Reserves	19,654,765	20,562,124
Total equity	20,104,766	21,012,124
Non current liabilities	163,616	447,786
Current liabilities	13,977,298	13,181,200
Total liabilities	14,140,914	13,628,986
Total equity and liabilities	34,245,680	34,641,110

Condensed Consolidated Statement of Changes in Equity as at:

	31 Dec 2021 Sh' 000	30 June 2021 Sh' 000
Share Capital	450,000	450,000
Share Premium	648,000	648,000
Asset Revaluation Reserve	1,445,626	1,445,626
Retained Earnings	17,524,261	18,431,370
Foreign Currency Translation Reserve	36,879	37,128
Total Equity	20,104,766	21,012,124

PERFORMANCE

The company registered KES 422M decline in revenue occasioned by working capital deficit which inhibited the business from undertaking plant refurbishment and resourcing of the value chain. The Gross Loss position for the period increased by KES 40M while Loss from operations improved by 3% buoyed by deliberate cost containment measures by Management and the Board. The Loss Before tax improved by KES 190M. This improvement was as a result of 59% reduction in Finance Cost.

OUTLOOK

From the foregoing business performance, the yields from the business reorganization initiatives continue to materialize. The company is currently at the tail end of terminating the KES 6.8 Billion bank loan and has successfully negotiated for cessation of interest in light of the progress made in settling the debt.

Further, the company has made significant progress in the balance sheet restructuring program with proceeds from sale of land expected to bridge working capital deficit. These measures are expected to reposition the business to deliver its customer value proposition and effectively mine from its strong brand equity. It is projected that the business will be profitable by end of the current financial year.

BY ORDER OF THE BOARD

FLORENCE MITEY

COMPANY SECRETARY

25 February 2022